

# Profit Niti AI CFO Report

## 1. Big Picture — How the Business Looks Right Now

The business shows strong growth in assets and equity over the last seven months, with total assets increasing from ₹11.3M to ₹12.5M. However, the latest month (Oct 2025) reveals a critical warning: the company posted a significant net loss of ₹-79,451, marking the first negative profit month in the period. Sales have been volatile, peaking in July at ₹1.85M but dropping sharply to ₹1.20M in October. The financial structure is heavily reliant on long-term borrowings (₹9.24M), which fund operations and growth.

### GREEN FLAG BOX — What's Working Well:

- Exceptional Gross Margins:** Consistently above 88%, reaching as high as 97.78% in September, indicating excellent pricing power or very low direct costs.
- Strong Equity Growth:** Total Equity has grown over 5x, from ₹0.5M to ₹2.7M, driven by retained profits, strengthening the owner's stake.
- Robust Liquidity Position:** Current Ratio is extremely healthy at 13.36, indicating more than enough short-term assets to cover liabilities.

### Overall Health Gauge: CAUTION

**Reason:** Strong foundational metrics (margins, equity) are undermined by a recent sharp profit loss and volatile sales, signaling potential operational or market challenges.

### Sales-Profit-Cash Trend (Last 3 Months)

**Sales:** ₹1.55M (Sep) → ₹1.20M (Oct) | **Profit:** ₹0.25M (Sep) → -₹0.08M (Oct) |  
**Cash:** ₹1.79M (Sep) → ₹1.81M (Oct)

*Trend: Sales and profits are declining sharply, but cash balance is being maintained.*

### RED FLAG BOX — What Needs Attention:

- ⚠ **October Loss & Profit Collapse:** A net loss of ₹-79,451 in Oct 2025, with Operating Profit at -6.61%. This sudden reversal after months of profit is a major concern.
- ⚠ **High and Rising Overheads:** SG&A expenses consumed 97.47% of revenue in October, completely eroding the high gross margin and causing the loss.
- ⚠ **Sales Volatility & Decline:** Revenue dropped 23% month-over-month in October. Unpredictable sales make consistent profitability difficult.

#### CFO Advice:

"Immediately conduct a line-by-line review of Selling, General & Administrative (SG&A) expenses for October. The core business model is sound (superb gross margins), but runaway overheads are killing profits. Stabilize sales efforts to prevent such sharp monthly declines."

## 2. Profit Power — The Earning Engine

The profit engine has a powerful start (high gross margin) but a broken finish. **Gross Profit Margins** are stellar, averaging ~93% over the period. This means for every ₹100 of sales, only about ₹7 goes to direct costs (COGS). The problem lies in the **Overheads (SG&A)**. While these were under control in mid-2025 (around 50-60% of sales), they ballooned to 97.47% of sales in October. This turned a healthy gross profit of ₹1.09M into an operating loss of ₹-79,451. The most profitable quarter was Q1 (2025-2026) with a Net Profit of ₹1.06M, but the trend has been negative since.

#### CFO Advice:

"Protect your phenomenal gross margin at all costs. The urgent priority is to implement strict budgetary controls on SG&A. Identify and cut discretionary spending that spiked in October to realign overheads with the 60-70% of sales range seen in your profitable months."

### 3. Cash Management — Liquidity & Working Capital

Cash flow is a story of two halves: **financing** and **operations**. The business has been funded significantly by long-term borrowings (₹9.24M), which provided the initial cash. **Operating Cash Flow** has been highly inconsistent, turning positive in some months (e.g., ₹1.00M in June) but deeply negative in others (e.g., -₹1.11M in July). The ending cash balance has remained relatively stable (₹1.81M in Oct) because financing inflows covered operational shortfalls. **Accounts Receivable Days** have crept up to 98 days, meaning it takes over 3 months to collect payment from customers, which strains liquidity.

#### CFO Advice:

"Tighten credit and collection policies immediately. The 98-day collection period is too long. Accelerating collections is crucial to reduce reliance on debt for covering operational cash shortfalls and to improve your cash conversion cycle."

### 4. Capital & Financing — The Funding Structure

The business is **debt-funded**. Total Debt stands at ₹9.24M, compared to Total Equity of ₹2.72M, resulting in a Debt-to-Equity ratio of 3.4. This means for every ₹1 of owner's money, there is ₹3.4 of borrowed money. While the ratio has improved from 19.6, it remains high. The positive is that the debt is primarily long-term, providing stability. **Return on Equity (ROE)** was strongly positive in earlier months but turned negative (-35.07%) in October, indicating the recent loss destroyed shareholder value. The high

debt level makes the business sensitive to profit downturns.

**CFO Advice:**

"Use the current period of high gross margins to aggressively pay down the most expensive parts of your debt. Improving profitability is the fastest way to improve your Return on Equity and reduce financial risk from the high leverage."

## □ Final Summary

"You have a fundamentally strong business with incredible gross margins, but it is currently being managed into a loss by uncontrolled overheads. Regain profitability by clamping down on SG&A expenses, and the high margins will quickly flow through to a very healthy bottom line and cash flow."

**Generated by Profit Niti AI - Helping You Work Less, Earn More.**